Medicaid Waiver *Difficulty of Care* Payments[1]

A taxpayer may (but is not required to) exclude Medicaid Waiver Payments (MWP) for difficulty of care from taxable income and may (but is not required to) include MWP as earned income per Notice 2014-7 and Form 1040 instructions. This document details the entries needed in TaxSlayer to determine the best option for the taxpayer.

MWP may be reported to a taxpayer in different ways or not at all:

A. On a Form W-2 with the payment amount in Boxes 1 (wages), 3 (Social Security wages) and 5 (Medicare wages).

B. On a Form W-2 with the payment amount only in Boxes 3 and 5.

C. On a Form 1099 (-NEC or -MISC) with the payment amount reported as Nonemployee Compensation, Other income, or (rarely) Medical and health care payments, even though the instructions state to not use a 1099 form to report MWP.

D. No tax document. This happens when the MWP wages are not subject to FICA taxes. The taxpayer must provide the amount of MWP received during the tax year.

Treat the sum of all MWP received during a year consistently; that is, treat all as taxable income or none as taxable income, treat all as earned income or none as earned income.



State treatment may or may not conform to the federal options. State leaders are encouraged to determine and disseminate their state's treatment.

There are four options to determine the best result for a taxpayer:

Option	Federal Taxable Income	Federal Earned Income
1.	No	No
2.	No	Yes
3.	Yes	Yes
4. (never beneficial)	Yes	No

Following IRS form instructions, MWP will be entered on the wages line of Form 1040 when it is beneficial to include it in earned income for EIC/ACTC purposes. Forms 1099 received will also be entered (and backed out in an effort to deflect IRS mismatch letters). Below are specific instructions for each option. Enter all other information for the federal and state (if applicable) tax returns before comparing the impact of MWP. Note the federal and state tax liabilities for each option so the taxpayer can decide which option to use. Be sure to return the TaxSlayer entries to the option that represents the chosen option.

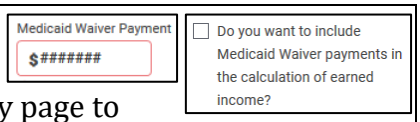
[1] Paid by state, county, or agency to caregiver who provides nonmedical support services to an individual. The care provider and the care recipient must live in same home and the care provider cannot provide care for no more than 10 children or 5 adults (19 or older).

TaxSlayer entries

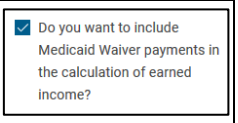
A. MWP Included on Form W-2 in Box 1

These step numbers correspond to the options above – complete them **in the order listed here** after completing the TaxSlayer W-2 entry page in the normal manner:

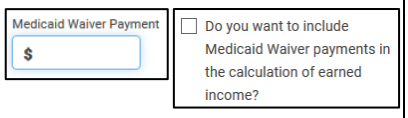
1. *[No—No]* Enter the W-2 as normal and enter the MWP amount in the "Medicaid Waiver Payment" input field on the W-2 entry page. **Do not** check the box on the W-2 entry page to include it in earned income. Note the tax liabilities.



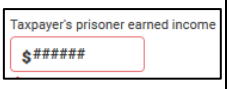
2. *[No—Yes]* Add: Check the box on the W-2 entry page to include it in earned income. Note the tax liabilities.



3. *[Yes—Yes]* Remove the entry from the "Medicaid Waiver Payment" input field on the W-2 entry page and uncheck the box on that page to include it in earned income. Note the tax liabilities.



4. *[Yes—No]* Add: Enter the MWP amount in Income > Less Common Income > Other Compensation > Prisoner Earned Income. Note the tax liabilities.



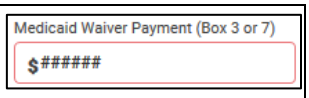
B. MWP Reported on Form W-2 with NO amount in Box 1

Enter the Box 3 amount in Box 1 on the W-2 entry page, complete the remainder of the page in the normal manner and follow the steps for **A. MWP Reported on Form W-2 in Box 1** above.

C. MWP Included in Any Box on Form 1099-MISC or on Form 1099-NEC

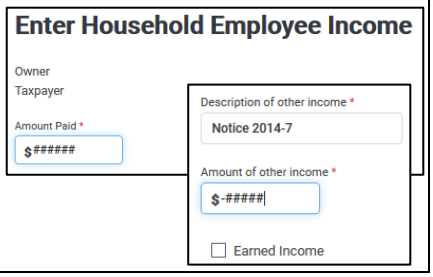
Enter the 1099, and back it out, then report as wages per IRS instructions:

1. *[No—No]* Enter the MWP amount in 1099-MISC, **Box 3**, Other Income regardless of which box was used on the 1099. Also enter the MWP amount in the "Medicaid Waiver Payment" entry field. D**o not** check the box to include in earned income. Note the tax liabilities.

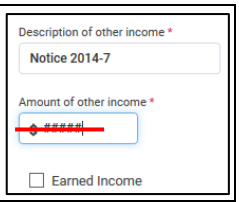


2. *[No—Yes]* Add: enter the MWP income in Income > Less Common Income > Other Compensation > Household Employee Income.

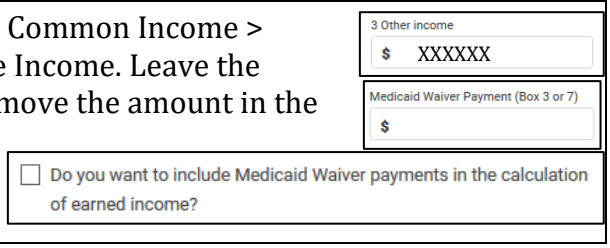
   Also go to Income > Less Common Income > Other Income and enter a negative amount for the MWP and describe it as "Notice 2014-7." Note the tax liabilities.



3. *[Yes—Yes]* Leave the 1099 entry and the MWP amount in the "Medicaid Waiver Payment" input field on the 1099 entry page. Also leave the household employee income in place. Remove the negative entry in Other Income. Note the tax liabilities.



4. *[Yes—No]* Remove the entry in Income > Less Common Income > Other Compensation > Household Employee Income. Leave the MWP amount in the 1099 entry page but remove the amount in the "Medicaid Waiver Payment" entry field; and, **do not** check the box to include in earned income. Note the tax liabilities.



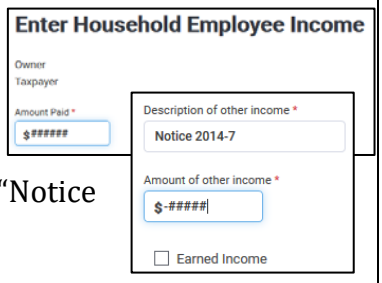
D. MWP Not Reported on Any Tax Document

Taxpayer must provide MWP amounts from, e.g., the last check stub. These step numbers correspond to the options above:

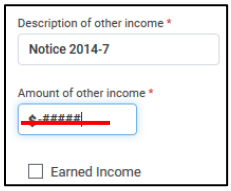
1. *[No—No]* Without entering the MWP, note the tax liabilities.

2. *[No—Yes]* Enter the MWP income in Income > Less Common Income > Other Compensation > Household Employee Income.

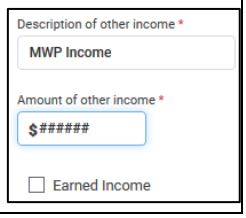
   Also go to Income > Less Common Income > Other Income and enter a negative amount for the MWP and describe it as "Notice 2014-7." Note the tax liabilities.



3. *[Yes—Yes]* Remove the Other Income negative amount entry. Note the tax liabilities.



4. *[Yes—No]* Remove the entry Income > Less Common Income > Other Compensation > Household Employee Income. Enter the payment amount as Income > Less Common Income > Other Income. Do **not** check the Earned Income box. Note the tax liabilities.



For a prior year return with MWP **not** previously reported – follow the normal procedure to prepare or amend a return and follow the steps above.

Other caregiver income: caregiver income that is not MWP would be reported as regular income (wages if W-2, Schedule C if the taxpayer is in the business of providing such services, or Other Income if not a business – see https://www.irs.gov/businesses/small-businesses-self-employed/family-caregivers-and-self-employment-tax).

FYI: The earned income box on the Other Income screen was new starting with 2018. Do not check this earned income box as a rule. TaxSlayer treats all such income as subject to self-employment tax and require a Schedule C.

Amended returns

In the description of the changes, note that the taxpayer elects to include MWP income as taxable income and/or earned income. Attach the relevant form showing the amount of MWP income for the year if possible and provide the payer's name.